Essay question：Assess which policies are likely to be most effective in redistributing income. [12]-9708/23/O/N/24

Sample essay：

AO1: Knowledge and Understanding

Redistribution of income refers to policies aimed at reducing income inequality by transferring wealth from higher earners to lower-income individuals. Policies commonly used to achieve income redistribution include minimum wages, progressive taxation, social welfare programs, and public investments in services such as education and healthcare. Each policy has varying effectiveness depending on the economic context and the method of implementation.

AO2: Analysis – Minimum Wage Policy

Logic 1
A: The introduction or increase in the minimum wage
↓
B: Higher wages for low-income workers
↓
C: Reduced income disparity between low and high earners
↓
D: A decrease in income inequality

Paragraph 1:
The introduction or increase in the minimum wage results in higher wages for low-income workers. This directly increases their disposable income and reduces income inequality. As low-income workers earn more, the wage gap between the highest and lowest earners narrows, leading to a more equitable distribution of income. The minimum wage policy is especially effective in reducing income inequality in economies where the majority of low-income workers are already employed in low-wage sectors.

AO2: Analysis – Negative Aspects of the Minimum Wage Policy

Logic 2
A: Potential for higher unemployment and inflation
↓
B: Reduced job opportunities and increased production costs
↓
C: Higher unemployment, especially for low-skilled workers
↓
D: Reduced long-term effectiveness of the policy

Paragraph 2:
The introduction of a minimum wage may also result in unintended negative consequences. Higher wages can increase the production costs for businesses, which may lead to reduced hiring or even layoffs, particularly for low-skilled workers. This can lead to higher unemployment, especially in industries that rely on low-wage labor. Furthermore, increased production costs may push businesses to raise prices, contributing to cost-push inflation. This can erode the benefits of higher wages, reducing the policy's long-term effectiveness in achieving income equality.

AO2: Analysis – Progressive Taxation Policy

Logic 3
A: A progressive tax system that increases taxes for higher earners
↓
B: A greater tax burden on wealthy individuals
↓
C: Increased government revenue to fund welfare programs for the poor
↓
D: Reduced income inequality

Paragraph 3:
A progressive tax system, where individuals with higher incomes pay a larger percentage of their earnings in taxes, helps redistribute wealth from the rich to the poor. The revenue generated from these taxes can then be used to fund social welfare programs, including healthcare, education, and unemployment benefits, which directly benefit low-income households. This reduction in the income gap results in less economic disparity between different income groups, making the policy effective in reducing income inequality.

AO2: Analysis – Negative Aspects of Progressive Taxation Policy

Logic 4
A: High taxation on wealthy individuals
↓
B: Disincentive to work among high-income earners
↓
C: Reduced tax revenue as high earners may choose not to work or relocate
↓
D: Increased government fiscal pressure, reducing funds for welfare programs

Paragraph 4:
While progressive taxation aims to reduce income inequality, it can lead to a disincentive to work among higher earners. As tax rates increase, wealthy individuals may decide that the benefits of working or investing are no longer worth the tax burden. This could lead to reduced labor force participation among high-income individuals or even prompt them to relocate to countries with lower taxes. As a result, the government may collect less revenue than anticipated. This reduced tax base increases fiscal pressure on the government,

limiting its ability to fund welfare programs and thus reducing the overall effectiveness of the progressive taxation policy in reducing income inequality.

AO2: Analysis – Public Investment in Education and Healthcare

Logic 5

A: Increased government spending on public services such as education and healthcare

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B: Improved access to essential services for low-income individuals

↓

C: Enhanced human capital and long-term economic opportunities

↓

D: Reduction in income inequality over time

Paragraph 5:

Government investment in public services like education and healthcare can help reduce income inequality in the long term. By improving access to quality education and healthcare, low-income individuals are better equipped to participate in the economy, find higher-paying jobs, and improve their overall quality of life. These investments build human capital, which enhances productivity and creates long-term economic opportunities. Over time, this can lead to a reduction in income inequality, as individuals from lower-income backgrounds are able to access the same opportunities as wealthier individuals.

AO2: Analysis – Negative Aspects of Public Investment in Education and Healthcare

Logic 6

A: Public investment in education and healthcare

↓

B: Increased spending without guaranteed quality

↓

C: Inefficiencies in service provision

↓

D: Limited impact on reducing income inequality

Paragraph 6:

While public investment in education and healthcare can improve access to essential services, the effectiveness of these investments depends on the quality of the services provided. In some countries, public schools and hospitals suffer from inefficiencies, lack of resources, or poor management, which can reduce the benefits for low-income individuals. Without quality service provision, these investments may have limited impact on improving long-term income equality. Moreover, if the government fails to maintain high standards, public investment may exacerbate inequality instead of alleviating it.

AO3: Evaluation and Conclusion

The effectiveness of income redistribution policies depends on several factors, including the economic structure, the efficiency of implementation, and the broader socio-political environment.

Depend-on factor 1: The economic structure and labor market conditions
In economies with high unemployment or informal labor markets, minimum wage policies may have limited impact. In such economies, businesses may struggle to absorb higher wage costs, leading to job losses or reduced hours for low-income workers.

Depend-on factor 2: The ability to enforce progressive taxation
The effectiveness of progressive taxation relies on the government's ability to enforce tax laws and prevent tax avoidance. If enforcement is weak, the policy may fail to generate the intended revenue for redistribution, thus limiting its impact on income inequality.

Depend-on factor 3: The quality of public services
Government investments in education and healthcare can reduce inequality, but the quality of these services is crucial. In countries with poor public service provision, these investments may not lead to significant improvements in income equality, and may even exacerbate the problem if the services are inefficient or inadequate.

In conclusion, while minimum wage policies, progressive taxation, and public investments in education and healthcare all play important roles in reducing income inequality, their effectiveness is largely determined by the presence of effective supply-side policies, a well-structured and enforced tax system, and the quality of public services. When these factors align, a combination of these policies can lead to significant and sustainable income redistribution.